Chips Lead The Bounce

Nasdaq +1.03% to fresh record on chip strength. QCOM +10.80%, LRCX +6.66% to all-time high. Brent −4% as Hormuz reopens to commercial transit. AMD reports after close.

THE SESSION

Markets snapped back from Monday's selloff with the chip complex doing the heavy lifting. The S&P 500 added 0.83% to 7,260, the Nasdaq Composite gained 1.03% to a fresh record at 25,326, and the Russell 2000 surged 1.75% to 2,845. Energy unwound yesterday's spike: Brent fell nearly 4% to $109.87 and WTI lost a similar amount to $102.27 after Defense Secretary Pete Hegseth confirmed the Iran ceasefire "certainly holds" and the US escorted two commercial vessels through the Strait of Hormuz with destroyer cover. The VIX dropped 4.70% to 17.43.

Semiconductors led from open to close. Qualcomm extended last week's post-earnings rally with a 10.80% advance to $186.56 as reports surfaced of a partnership with OpenAI to develop an AI-native smartphone chip targeting 2028 production. The move builds on the late-April hyperscaler shipping disclosure that drove the stock's initial gap higher. Lam Research climbed 6.66% to $275.80 — a fresh high — with analyst price targets continuing to ratchet upward following its April beat-and-raise. AMD recovered 4.02% from Monday's pre-earnings selloff and reports after the close tonight, with consensus near $1.29 EPS on $9.84 billion in revenue and data center expected at $5.56 billion.

Industrials and materials joined the move. Caterpillar added 3.41% to $904.59 as the AI data center power thesis extended, and Steel Dynamics gained 3.32%. The JOLTS report showed March job openings at 6.87 million, modestly above estimates, but the more notable detail was hiring jumping 655,000 to 5.55 million — the highest hires rate since May 2024. The print suggests the low-hire, low-fire equilibrium that has defined this labor market may be shifting. April ISM Services PMI came in at 53.6, marginally below estimates but firmly in expansion territory.

IOWN Tactical: The morning's open question was whether the index could hold these levels on fundamentals alone now that positioning normalization is largely complete. Today answered affirmatively. The real test arrives in roughly an hour, when AMD prints data center revenue.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

QCOM +10.80% — DIVIDEND STRATEGY

Closed at $186.56 as reports of an OpenAI smartphone chip partnership combined with continued post-earnings momentum and the chip-sector rally. Stock has now gained over 40% in roughly a month.

CRDO +7.50% — GROWTH PORTFOLIO

$193.57 as the AI optical interconnect ecosystem extended its rally alongside the broader semi complex. One of IOWN's newest growth additions.

LRCX +6.66% — DIVIDEND STRATEGY

$275.80, a fresh high. IBD Stock of the Day. Analyst price targets continue to climb following last month's beat-and-raise: TD Cowen at $340, BofA at $330, Susquehanna at $385.

AMD +4.02% — GROWTH PORTFOLIO

Recovered to $355.26 from Monday's pre-earnings drawdown. Reports Q1 after the close tonight; consensus near $1.29 EPS on $9.84B revenue. Data center print is the metric that matters.

CAT +3.41% — DIVIDEND STRATEGY

$904.59 as the AI data center power thesis extended. Power & Energy segment grew 22% in Q1, with power-generation revenue up 41%. Now up roughly 53% YTD.

DECLINERS

COIN –2.58% — GROWTH PORTFOLIO

$197.75 after announcing a 14% workforce reduction (~700 employees) and a $50–$60 million restructuring charge tied to AI-driven operational changes. Q1 earnings Thursday.

TSM –1.79% — GROWTH PORTFOLIO

$394.41 on rotation within the chip complex. Capital flowed toward US-listed semi names (QCOM, LRCX, CRDO) on the day.

LMT –1.78% — DIVIDEND STRATEGY

$508.93 as defense names gave back ground with the ceasefire holding and oil reversing yesterday's spike.

BKH –1.44% — DIVIDEND STRATEGY

$73.84 on routine rotation out of defensive utilities into the day's cyclical and tech leadership.

FAST –1.23% DIVIDEND STRATEGY

$44.33 — modest pullback within an otherwise constructive industrial tape.

HOLDINGS NEWS

COIN announces 14% workforce reduction. Coinbase disclosed plans to cut approximately 700 employees, with a $50–$60 million restructuring charge expected in Q2. CEO Brian Armstrong framed the move as both a response to the crypto market downturn and an acceleration toward AI-native operations: smaller, flatter teams with managers required to function as “player-coaches.” Q1 earnings report follows Thursday after the close.

AMD reports Q1 after the close tonight. Consensus is approximately $1.29 EPS on $9.84 billion in revenue, with data center expected at $5.56 billion (roughly +52% year-over-year). Options markets are pricing an 8% post-earnings move. Gross margin guidance at 55% is the secondary watch point. The result will set the tone for the entire IOWN semiconductor sleeve.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT BOTH

+1.14%

vs. DVY +0.63% | SPY +0.79%

GROWTH PORTFOLIO ✓ BEAT

+0.93%

vs. IUSG +0.81%

YEAR-TO-DATE

Dividend +13.77% vs DVY +9.51% / SPY +6.13%
Growth +6.50% vs IUSG +7.01%